

Formation Requirements for a Truck Association

In Ethiopia, **truck associations** have historically been formed by groups of freight transporters under road-transport law. Under the Road Transport Proclamation (No. 468/2005), “persons and enterprises engaged in public commercial road transport may establish and join public commercial road transport associations” ¹. The law required each association to register with the transport regulator (attaining legal personality only upon registration ²) and limited membership (e.g. a transporter may join at most one association for a given route ³). In practice, Ethiopian trucking associations have been defined by a minimum fleet size. According to industry reports, an association must include **at least 75 trucks** to qualify ⁴.

Effective 2022, however, new rules have overhauled this structure. Road Transport Proclamation No. 1274/2022 (amending Proclamation 468/2005) now **requires all existing associations to re-establish as formal companies**. They must re-register “as a business company in accordance with the appropriate laws” within nine months of the law’s enactment ⁵. In other words, associations are to become commercial enterprises (e.g. share companies, partnerships, PLCs, etc.) rather than informal groupings. A 2023 Ministry of Transport Directive (No. 968/2023) reiterates this, stating that each old “association” must obtain a business license and a new operator’s competency license under its corporate name (e.g. as a share company or limited company) ⁶ ⁷. Associations failing to convert by the deadline automatically lose legal status ⁷. (Several large associations have already begun this process – for example, one 180-truck association reorganized as a share company ⁸.)

Government Bodies and Legal Oversight

The main regulator of road transport is the **Ministry of Transport and Logistics (MoTL)**. Under Proclamation 1274/2022, the MoTL and the (now-repealed) Federal Transport Authority were empowered to issue licenses, rules and directives for freight transport. The Council of Ministers may set implementing regulations and the Ministry issues binding directives ⁹. For example, MoTL’s 968/2023 directive (cited above) was issued per Article 12(2) of Proclamation 1274/2022. The Ethiopian Roads Transport Authority (formerly under MoTL) used to handle association registration and licensing ¹⁰ ¹¹. Although that Authority was dissolved in 2021, its functions (licensing, inspection, etc.) now rest with MoTL’s Road Transport Directorate.

Beyond transport, other agencies interface with trucking associations. The **Ethiopian Customs Commission** regulates international freight clearance: associations must work with licensed customs brokers for cargo processing. Foreign-exchange and trade bodies also reference trucking in their rules – for instance, a 2024 National Bank directive defines “Truck voyage permits” and “Truck way bills” used for cross-border haulage ¹². For operations in the **Dire Dawa Free Trade Zone (FTZ)**, the Dire Dawa FTZ Authority and Dry Port management oversee zone access. Truckers moving cargo into the FTZ must still comply with customs and transport permits from these authorities, although publicly available guidelines for FTZ trucking are limited.

Participation in Logistics Services (FTZ, Customs, Forwarding)

Truck associations chiefly provide **transport haulage** along corridors (e.g. from Djibouti port into Dire Dawa). They typically do *not* act as customs brokers or freight forwarders themselves. Instead, licensed freight forwarders and clearing agents handle FTZ/port clearance. (For example, the Ethiopian Freight Forwarders & Shipping Agents Association (EFFSAA) has trained its members in FTZ procedures ¹³.) Associations' member companies often partner with such forwarders: trucks owned by the association move containers, while paperwork is filed by an authorized agent. In practice, any company (often one owned by an association member) must hold a **Freight Transport Operator License** and an **operators' competency license** to carry goods. Associations thus act as **trucking cooperatives** – they pool members' trucks, negotiate contracts, organize schedules and maintain terminals or depots.

Freight forwarding agents and customs brokers (e.g. EFFSAA members) play a key role in Dire Dawa FTZ operations ¹³. Truck associations mainly supply the trucking capacity for these logistics chains.

Inside the Dire Dawa FTZ, standard procedures apply. Imported containers are cleared by customs (often in the FTZ premises or at the Dry Port) by licensed customs brokers. Then association-member trucks deliver the cargo to final warehouses or customers. Export loads are similarly coordinated. There is no public rule that *only* associations (versus individual trucking firms) may serve FTZ clients; rather, any duly licensed transport enterprise may bid for contracts or carry goods. In summary, associations participate in logistics by supplying vehicle fleets and drivers, while specialized services (customs clearance, freight forwarding) remain the domain of appropriately licensed professionals.

Associations vs. Individuals in Transport Contracts

Importantly, Ethiopian law has long allowed firms to operate **outside of associations** if they choose. Proclamation 468/2005 explicitly stated that a transporter “may carry out [business] either by becoming a member of [an] association... or on their own without becoming members of any association” ¹⁴. In other words, there is no legal obligation that only an association can provide trucking services. Similarly, FTZ-related logistics contracts are awarded to companies (whether owned by one person or many) based on performance and licensing. The recent reforms do **not** reserve any new class of contracts exclusively for associations. Instead, the trend is that any trucking business must now operate as a formal company.

Large Associations and Special Rules (100+ Trucks)

We found no published regulations granting special privileges solely on the basis of fleet size. No law or directive explicitly says, for example, that only large associations (100+ trucks) get unique benefits. If anything, the new rules apply equally: every association, large or small, must re-register as a company ⁶. However, large-scale associations often have more capacity to convert into share companies, obtain credit, or compete for big contracts. Anecdotally, some of the country's biggest trucking groups (100+ vehicles) have already incorporated and floated shares to their members ⁸. In practice, larger

fleets may be better positioned to secure foreign-currency permits and government tenders, but we did not find any formal exemptions or extra incentives tied specifically to the “100+ truck” threshold.

Public Guidelines and References

Relevant government publications include the Road Transport Proclamation and its implementing directives. Proclamation No. 468/2005 (as published in the Federal Negarit Gazeta) laid out the association framework ¹ ². Proclamation No. 1274/2022 (July 2022) and subsequent Directive 968/2023 provide the current rules on licensing and corporate status ⁵ ⁶. The Ethiopian Customs Commission and the Dire Dawa FTZ Authority do not appear to have separate manuals specifically on truck associations. (Authorities of related sectors do publish guides – for example, the National Bank’s Foreign Exchange Directive defines terms like “Truck Voyage Permit” used for import/export trucking ¹².) Finally, industry news and training briefs from groups like EFFSAA and TradeMark East Africa describe how forwarders and truckers are adapting to the new FTZ system ¹³.

Sources: Ethiopian transport laws and directives ¹ ² ⁵ ⁶; Addis Fortune and The Reporter news reports ⁴ ⁸; and logistics-sector publications ¹³ ¹². (All citations are to the texts above.)

¹ ² ³ ¹⁰ ¹¹ ¹⁴ Proc No 468 2005 Transport | PDF | Transport | Economies
<https://www.scribd.com/document/530717384/Proc-No-468-2005-Transport>

⁴ ⁸ Bill Proposes Transport Associations Register as Commercial Entities
<https://addisfortune.news/bill-proposes-transport-associations-register-as-commercial-entities/>

⁵ Road Transport Proclamation No. 1274-2022
<https://chilot.wordpress.com/wp-content/uploads/2023/02/bd205-road-transport-proclamation-no.-1274-2022-.pdf>

⁶ ⁷ Commercial Road FGHT Transport Operators' Competency. | PDF
<https://www.scribd.com/document/825519405/Commercial-Road-Fght-Transport-Operators-Competency>

⁹ Draft Road Transport Proclamation 2022
<https://chilot.wordpress.com/wp-content/uploads/2023/02/d7c99-draft-road-transport-proclamation-2022.pdf>

¹² nbe.gov.et
<https://nbe.gov.et/wp-content/uploads/2024/07/FXD012024-FOREIGN-EXCHANGE-1-1.pdf>

¹³ Actors in Ethiopia's logistics value chain upskilled on free trade zones operations – Trade Catalyst Africa
<https://tradecatalystafrica.com/blog-posts/actors-in-ethiopias-logistics-value-chain-upskilled-on-free-trade-zones-operations/>